EARNINGS UPDATE

Meta Q3 2026: the ads deliver, the 2027 bill waits

22 October 2026 · Syz Research · Q3 results published on 21 October after the US close

Meta is on the Syz master list, but not on the focus list. Our long-term stance remains **constructive**. The quarter answered two of our three pre-results questions: revenue and the outlook were strong, and Muse came with usage data. The third, the 2027 investment bill, was left open, while free cash flow turned negative.

Q3 revenue	EPS excl. legal charge	Q4 revenue outlook	Q3 free cash flow
USD 64.6 bn	**USD 7.40**	**USD 73 to 76 bn**	**USD -2.1 bn**
+2% vs. cons., +26% y/y	+13% vs. cons., GAAP USD 3.83	mid-point +1% vs. cons.	capex USD 34.9 bn

Key takeaways

BEAT	Revenue above the top of guidance, driven by a 14% rise in the price per ad; operating income 13% above consensus.
BEAT	Muse: over 10 million users in six weeks (US, Canada), a quarter of them active on any given day; shopping leads.
WATCH	Volumes are slowing: ad impressions +10%, daily active people +3% to 3.64 bn. Growth leans increasingly on pricing.
WATCH	Capex exceeded operating cash flow; no 2027 capex figure yet, as the budget is still being built.

1. A clean quarter under the legal charge

Reported EPS of USD 3.83 includes a USD 9.9 bn charge for the settlement with 52 US states; excluding it, EPS was USD 7.40, against a USD 6.54 consensus (not all estimates included the charge). Operating income excluding the charge reached USD 22.9 bn, a margin of about 35% against 40% a year earlier.

2. Muse moves from downloads to a business

A quarter of those who have set up Muse are active on any given day, more than twice the level of Threads, Meta's text-based social app, at its 2023 launch. Shopping is the top use case, with an average purchase above USD 200. Most users would stay free, with Meta taking a fee on transactions, while subscriptions would cover the most advanced models such as Muse Wonder and business use. Mark Zuckerberg expects to "work on monetization somewhat sooner on this than our normal playbook". Muse is very compute-intensive: Meta targets a more than tenfold cost-efficiency gain next year, but gave no cost per user.

3. The cash question is postponed, not solved

Free cash flow was negative at USD -2.1 bn, and debt (USD 83.7 bn) now slightly exceeds cash (USD 82.4 bn). Expense guidance moved to USD 175 to 179 bn, the previous range plus the charge, and 2026 capex was narrowed to USD 135 to 145 bn. For 2027, management expects to keep investing aggressively and to sustain strong revenue growth, with Reality Labs losses narrowing to about USD 15 bn; figures come with Q4. Meta will also distribute one new non-voting share per existing share from late January 2027, which works like a two-for-one split but also creates a share usable for capital raising or acquisitions. No financing plan was announced.

4. First market reaction

The share came into the print about 9% below its level after the Muse Wonder launch, closing at USD 697.50. It spiked by up to about 7% in after-hours trading, then gave back most of the gain after management said Muse's serving costs would rise: the market rewards the quarter but waits for 2027.

OUR PRE-RESULTS TESTS

TEST	OUTCOME	EVIDENCE
Revenue at or above USD 63 bn, firm Q4 outlook	Met	USD 64.6 bn; Q4 outlook USD 73 to 76 bn
Muse metrics beyond downloads	Largely met	Daily usage, commerce; no revenue per user yet
2027 capex and expenses in line	Open	Budget in progress; strong 2027 revenue growth flagged

What this means for investors

The results reinforce our constructive long-term stance: advertising is funding the AI strategy, and Muse now shows early signs of a business model. This note is not a recommendation to buy the share. The next test is the 2027 investment guidance, expected with the Q4 results, and whether free cash flow returns to positive territory.

Sources: Meta Platforms Q3 2026 results and earnings call transcript (21 October 2026), Muse Wonder launch (13 October 2026); FactSet (consensus); press reports (after-hours trading, call commentary). Operating margin excluding the charge: Syz calculation. Prices are as of the close on 21 October 2026.

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